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Stablecoins and the New Payments Landscape

What is the role of stablecoins in the global payments system?

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There's currently a drive to modernize and improve existing global payments infrastructure, which promises to expand users' access to faster and cheaper forms of payment. Stablecoins are increasingly being used to construct robust payment systems on crypto rails, facilitating remittance payments and streamlining cross-border transactions. The stablecoin market settled more than \$10.8T worth of transactions in 2023 – or US\$2.3T if we exclude “inorganic” activity, like bots or automated transactions. Volumes on that adjusted basis are growing by 17% YoY, which means stablecoins are quickly catching up to today's largest incumbent payment networks.

Although incumbents enjoy some important advantages such as liquidity and network effects, rising competition has reduced the average cost of remittance payments by more than a third over the last 15 years, according to The World Bank. Nevertheless, the average cost of sending \$200 is still 6.35% of the transfer amount globally or an aggregate \$54B in fees annually. Comparatively, the average transaction cost of sending remittances using stablecoins is a far lower 0.5-3.0% of the transfer amount, with the potential to trend lower due to new innovations.

Because technology has made it easier for merchants and users to adopt new forms of payment, incumbents have become more vulnerable to fintech challengers. The integration of stablecoins into existing payment systems is one example of how crypto is increasingly being used in the real economy. However, we think expanding stablecoins' role requires abstracting away some of blockchain's

technical complexities as well as having clearer regulations to ensure consumer protection and promote broader financial inclusion.

For more details, see our [full report](#).

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